Personal Budget & Mortgage Debt Strategy

Part 1: Personal Budget

1.1 Current Financial Situation

I currently work part time during the fall and winter semesters and full-time during the summer months. The money that come from summer employment pays for my yearly tuition without upholding any student debt, and the part time employment covers some of my living expenses during the school year. Fortunately, I live with my parents and only part a rent expenses during the summer months when I'm working full time. The other expense I have are also quite modest including Car Insurance, Gas, Groceries, Gym Membership, Cellar Plan and costs for leisurely activities. Aside from theses expenses, any extra money I make goes into a Tax-Free Savings Account (TFSA) through a combination of manual and automatic bi-weekly deposits,

1.2 Financial Goals

Short Term | 0-1 Year	Medium Term | 2-5 Years	Long Term | 5+ Years
1. Maintain consistent TFSA contributions	1.Establish a dedicated emergency fund upon entering full-time employment	1. 80/20 Down payment on house
2. Pay my credit card balances in full; Keep consumer debt minimal	2. Complete finance undergrad without student debt	2. Max out TFSA Contributions

3. Track monthly expenses and income	3. $4000-6500 saved for international travel	3. $100,000 saved across investment accounts
4. Effectively diversify cash whilst maintaining a good liquidity ratio	4. Consistent FHSA contributions	4. Minimize Taxes through things like RRSP, TFSA, RESP, ETC

1.3 Personal Financial Statements

1.3.1 Statement of Net Worth

Personal Balance Sheet	As of Jan 31st, 2026
Assets	
Liquid assets	
Cash	$ 3,400.00
Chequing	$ 320.07
Savings	$ 232.38
Total liquid assets	$ 3,952.45
Household assets	
*Car	$ 5,500.00
Total household assets	$ 5,500.00
Investments	
TFSA	$ 11,306.37
Crypto	$ 627.20
Total Investment assets	$ 11,933.57
Total Assets	$ 21,386.02
Liabilities	
Current liabilities	
Credit card	$ 312.37

Net Worth	$ 21,073.65

*(Car) based on Kelly Blue Book and average used market listings to create a conservate estimate for 2013 Corolla with 244,000kms

1.3.2 Income and Expenditures

Income

Part-Time Employment	$100/Week x 52 = $5200/Year
Full-Time employment (4months, seasonal)	$23/hr x 35 hrs per week = $805 x 16 $12,880/Year
*Other	$11,269/Year

Fixed Expenditures

Rent	$1,200/Year
Cellular	$309.12/Year
Tuition	$4,900/Year
Insurance	$2,000/Year
Gym	$780/Year

***Variable Expenditures (historical)**

Professional and Financial Services	$180/Month
Transportation	$430/Month
Restaurants	$190/Month
Groceries and Retail	$457/Month
Hotel, Entertainment and Recreation	$131.38/Month
Home and Office Improvement	$20.38/Month
Health and Education	$751.60/Year
Foreign Currency Transactions	$142.57/Year
Total Variable Expenses	$17,799.29/Year

*(Variable Expenditures (historical)) calculated from total credit spending report to get previous year variable expenses.

*(other) Data collected from e transfer statements. Reimbursements, supplementary income.

1.3.3 Projected Statement of Cash Flow

Projected Cash Flow (year)	Created 2026/02/01	
Income		
Part-Time Employment	$	5,200.00
Full-Time Seasonal employment	$	12,880.00
*Other	$	10,500.00
Total Income without (other)	$	18,080.00
Total income with (other)	$	28,580.00
Fixed Expenses		
Rent	$	1,200.00
Cellular	$	309.12
Tuition	$	4,900.00
Insurance	$	2,000.00
Gym	$	780.00
Total Fixed Expense	$	9,189.12
Savings		
TFSA Contributions	$	1,040.00
Net Cash Flow (+)	$	7,850.88
Net Cash Flow (+, incl other)	$	18,350.88
-*Estimate Variable expenses	$	17,799.60
Balanced Cash flow	$	551.28

*(other) income is hard to distinguish and estimated variable expenses include my own expenses and reimbursements. Therefore, both other income and variable expenses are inflated due to reimbursement income but balance each other out.

1.4 Control and Implementation Strategies

1.4.1 Implementation Strategies

1. Automated bi-weekly payments to my TFSA.

2. Reallocate significant cash into investment accounts whilst keeping adequate liquidity.

3. Pay credit card statement in full as soon as it is released.

4. Allocate savings and additional cash flow to my FHSA, RRSP and TFSA.

1.4.1 Control Strategies

1. Create monthly cash flow statements to monitor spending and saving amounts.

2. Create an annual net worth statement to monitor assets and liabilities.

3. Reassess priorities when change of income, employment, living arrangements or large purchases occur

Part 2: Mortgage Debt Strategy

2.1 Assumptions

After graduation and finding work I will assume we have worked for some time and have make around median wage which is about $70,000 for CFP and $85,000 for an RN. I will also assume we will have enough for a down payment of 20% ($97,600) through TFSA, FHSA and personal savings to buy our first home in Victoria B.C.

2.2 Home Acquisition

- **MLS:** #1023451
- **Purchase Price:** $488,000
- **Property Details:** 1 bedroom, 1 Bathroom, 563sq feet, Condo / Apartment.
- **Down Payment:** The purchase price of $488,000 leaves us with a 20% down payment of $97,600 with the required mortgage amount being $390,400.

2.3 Prospective Lender

The prospective lender of this mortgage would be RBC. The costs and features of the mortgage would be the following:

- Total Mortgage Amount: $390,400
- Fixed rate: 4.590%
- Amortization: 20 years
- Term: 5 years

2.4 High-Ratio vs Conventional Mortgage Comparison

Ratio Comparison	80/20 Ratio	90/10 Ratio
Purchase price	$ 488,000.00	$ 488,000.00
- Down payment	$ 97,600.00	$ 48,800.00
Mortgage	$ 390,400.00	$ 439,200.00
+insurance		$ 13,615.20
Total Mortgage	$ 390,400.00	$ 452,815.20
***Monthly payments**	$ 2,479.72	$ 2,876.17

*Monthly mortgage payments calculated using RBC Mortgage Payment Calculator, link.

2.5 Mortgage Suitability

2.5.1 GDS

Ideal GDS

- To be approved for this mortgage **39%** or below is required.

Estimations

- Mortgage Payment: $2,479.72
- Property tax: $211.60
- Heating costs: $100
- Condo Fees $250
- Monthly income: 70,000 + 85,000 /12 = 12,916.60

GDS

(Housing costs / Gross monthly income) x 100

(3041.32 / 12,916.60) x 100 = **24.4%**

2.5.2 TDS

Ideal TDS

- To be approved for this mortgage **44%** or below is required.

Estimations

- Housing Costs*: $*3041.32
- Car Loans: $650 and $550/ Month

TDS

(Housing costs + All other debt payments/ Gross monthly income) x 100

(3041.32 + 650 + 550 / 12,916.60) x100 = **32.8%**

2.5.3 Maximum Mortgage

I entered the information in the above sections into a *CIBC mortgage affordability calculator and with our combined income, car loans, condo fees, available down payment, amortization time and a fixed 5-year term interest rate I could get preapproved for:

- **Maximum Purchase Price**: $532,959
- **Monthly Mortgage Payment**: **$**2831

*Maximum mortgage affordability calculated using CIBC mortgage affordability calculator, link

2.6 Mortgage Structure and Rate Selection

- A fixed rate closed mortgage is chosen to align with predictability and budget certainty.
- A closed mortgage is chosen due to its lower interest rate relative to an open one.
- I chose a 20-year amortization period to accelerate equity accumulation, given our GDS and TDS calculations this remains affordable.
- The assumed interest rate of 4.590% reflects the current conditions of the market and is a conservative estimate that we can use.